
❖ Horizon Asset Management, Inc. ❖

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Interim Market Commentary

General Comments on Recent Developments in China

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The Chinese government recently announced that it would spend an estimated \$586 billion over the next two years to stimulate consumer spending and bolster the economy. The allocations will primarily cover low-income housing, electricity, water, rural infrastructure and projects aimed at environmental protection and technological innovation. The State Council announced that the new spending would begin immediately, with \$18 billion scheduled for the fourth quarter of this year. This stimulus package is the largest effort ever undertaken by the Chinese government. While the absolute amount of the Chinese stimulus package is not as large as the \$700 billion rescue plan by the US government, it should still be considered a significant sum considering that the Chinese GDP was only \$3.4 trillion in 2007 (nominal) as compared to US's GDP of \$13.8 trillion. Consequently, the Chinese GDP equates to approximately one-fourth of the size of the US GDP. As a result, the two-year stimulus plan accounts for approximately 17% of China's 2007 GDP.

While leaders of Congress are considering another stimulus package in the US, they are also concerned about increased public spending at a time when fiscal budgets are under strain. In China, however, that is not a concern as the country had almost \$2 trillion in foreign reserves as of the end of September and a reported fiscal surplus of \$215 billion for the first ten months of this year. Therefore, over the nine quarters the stimulus plan will be in effect, the Chinese surplus may actually exceed \$586 billion, in which case the Chinese government would not need to borrow funds to finance the package. Also, unlike the US stimulus package, which is focused on tax rebates, China's stimulus plan is aimed at building infrastructure such as roads and bridges, and providing jobs. This is very important to the Chinese government as its economy, after five years of 10%+ growth, has cooled down to the point where many economists are now projecting fourth quarter growth as low as 6%. Growth in exports and investment are slowing, consumer confidence is declining, and stock and property markets are severely depressed. While a 6% growth rate would be extraordinary for most developed countries, China needs a higher rate of growth just to absorb its labor force. Therefore, if it fails to generate sufficient employment, social unrest could become a significant problem for the Chinese government. That provides the government with a strong incentive to keep its economic growth rates high.

We note that China's overall government spending remains relatively low as a percentage of economic output compared to the United States and Europe. However, the Chinese government maintains far more control over investment trends. Accordingly, it has greater flexibility to increase investment in order to counter a sharp downturn. Many of the largest companies in major Chinese industries such as steel, automobiles and energy, are state-owned, and government officials locally and nationally have a hand in deciding how much bank lending is steered to those sectors. As part of the stimulus package, the government calls on banks to "reasonably expand lending." This suggests that banks would actually be urged to extend loans to accommodate the spending need under the expansionary fiscal policy. These unusually strong statements suggest that the authorities are very eager to boost private sector confidence in an effort to maintain robust growth. They send the message that the Chinese government will do whatever is necessary to support the economy.

This stimulus package, along with three interest rate reductions in the past two months, provides the Chinese economy with a solid step toward a likely rebound. Over the past few weeks, other Asian nations such as Taiwan, Japan and South Korea have announced significant stimulus packages and interest rate reductions of their own. Combined, these actions are likely to have a decidedly positive impact on the Asian economies over the next few years.

Within Horizon portfolios, we will maintain our current exposure to China while actively looking for additional opportunities that may present themselves. Of particular interest are non-export companies that conduct their business solely in the local currency. In our opinion, the severe valuation contraction experienced over the past year will be looked back upon as the finest investment opportunity in our lifetime.